MGT 202: SMALL BUSINESS MANAGEMENT

Topic 5: Navigating Family Business Dynamics

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Module Context & Strategic Alignment

National Vision Alignment

- **Vision 2036 Pillar 1**: Sustainable Economic Development & Diversification.
- **National HRD Strategy (2009–2022)**: Building private sector capability.
- **Entrepreneurial Foundations:** Building durable, ethical family enterprises in Botswana.

Chapter Learning Outcomes

- **LO1:** Define family & family business dynamics.
- **LO2:** Evaluate Three-Circle & SEW frameworks.
- **LO3:** Analyze commitment & role conflicts.
- **LO4:** Formulate governance & succession plans.

What is a Family Business? Core Definitions

The Family System

- Bound by shared history, blood, and emotional commitment.
- Priority: Nurturing, security, and member well-being.
- Membership is unconditional and lifelong.

The Family Business

- Relatives exert significant strategic influence.
- Commercial longevity & equity tied to family decision-making.
- Overlaps emotional principles with commercial discipline.

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Family System vs. Business System Dynamics

Fundamental System Differences

- **Family Goal:** Nurture individuals, offer emotional security, equal treatment.
- **Business Goal:** Profitability, market efficiency, performance accountability.
- **Inherent Conflict:** Applying family principles to business decisions (or vice versa) creates severe operational friction.
- **Key Challenge:** Balancing Socio-Emotional Wealth (SEW) with commercial survival.

MGT 202: DIAGRAM ILLUSTRATION

Illustration: Dual-System conflict Model

The Family System	The Business System
Primary Goal: Care, nurturing, and emotional security.	**Primary Goal:** Production, market efficiency, and profitability.
Basis of Reward: Unconditional loyalty and equality regardless of output.	**Basis of Reward:** Merit, performance, and strict accountability.
Time Horizon: Generational and long-term.	**Time Horizon:** Quarterly metrics and strategic cycles.
Vulnerability: Emotional feuds and resistance to market changes.	**Vulnerability:** Ruthless turnover and loss of institutional memory.

Conflict inevitably occurs when family principles are applied to business operations.

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Structural Evolution Across Generations

Stage 1: Owner-Managed

- 1st Generation.
- Single founder/entrepreneur.
- Direct centralized control & vision.

Stage 2: Sibling Partnership

- 2nd Generation.
- Shared leadership among brothers & sisters.
- Peer governance required.

Stage 3: Cousin Consortium

- 3rd+ Generation.
- Extended cousins & relatives.
- Requires formal corporate governance.

MGT 202: DIAGRAM ILLUSTRATION

Illustration: Generational Evolution Process Flow



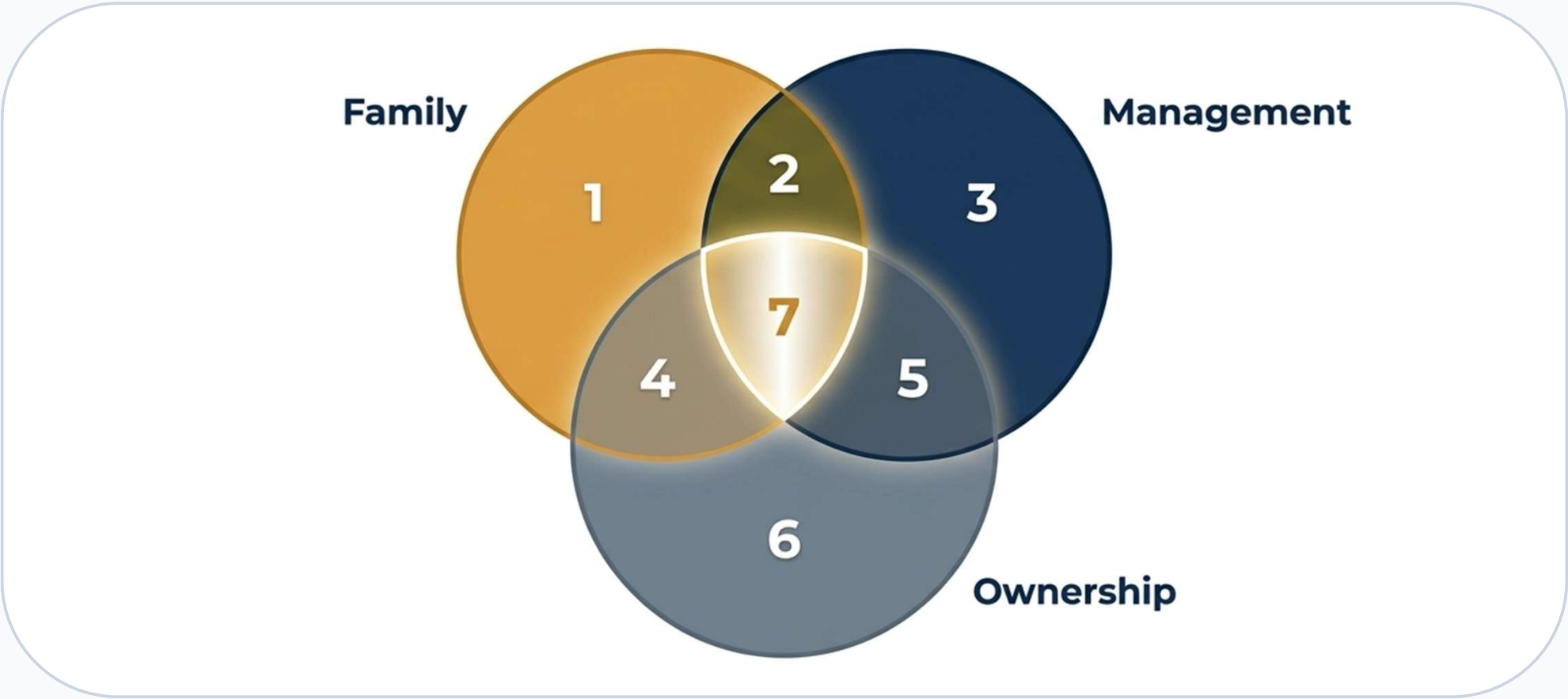
Theoretical Framework: The Three-Circle Model

Tagiuri & Davis (1982) Governance Model

- **Three Overlapping Sub-Systems**: Family Members, Owners, and Employees/Management.
- **7 Distinct Stakeholder Sectors:** Each sector has different goals, rewards, and expectations.
- **Sector 7 (Core Nexus):** Family member owner-employees who control strategic decision-making.
- **Conflict Source:** Tensions between non-family employees (Sec 2), non-working owners (Sec 5), and active family leaders (Sec 7).

MGT 202: DIAGRAM ILLUSTRATION

Illustration: Three-Circle Governance & 7 Sectors



Mapping the 7 Stakeholder Sectors



Sector & Title	Description & Key Characteristics	Primary Demand / Conflict Potential
1. **Sector 1** (Family Only)	Non-working spouses, young children.	Demand dividends, lack operational context.
2. **Sector 2** (Ownership Only)	External investors.	Demand ROI and governance.
3. **Sector 3** (Management Only)	Non-family executives.	Demand meritocracy and career growth.
4. **Sector 4** (Family + Ownership)	Non-working heirs.	Demand financial returns, often clash with management.
5. **Sector 5** (Ownership + Management)	Non-family working partners.	Demand performance-based equity and influence.
6. **Sector 6** (Family + Management)	Working family members without equity.	Demand career progression, face "nepotism" concerns.
7. **Sector 7** (The Core - Family + Owner + Manager)	The Founder/CEO.	Holds ultimate power but faces extreme role conflict.

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Socio-Emotional Wealth (SEW) & The FIBER Model

The Non-Financial Value of Family Enterprise

Definition: Non-financial returns that satisfy the emotional needs of the family.

F - Family Control: Reluctance to yield strategic decisions to outsiders.

I - Identification: Family name and personal self-image tied to firm reputation.

B - Binding Social Ties: Closeness and social capital within the local community.

E - Emotional Attachment: Historical family ties shaping corporate culture.

R - Renewal of Family Bonds: Commitment to dynastic succession.

Next-Generation Family Commitment Profiles

Desire & Obligation Drivers

- Desire-Based ('Want to'): Passion for the business; highest initiative & performance.
- Obligation-Based ('Ought to'): Sense of duty/pressure; risks emotional burnout.

Cost & Need Drivers

- Cost-Based ('Have to'): Fear of financial loss; passive compliance.
- Need-Based ('Need to'): Lack of alternatives; high operational vulnerability.

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Illustration: Next-Generation Commitment Matrix



Family Roles: Co-preneurs & Spousal Teams

Husband-and-Wife Entrepreneurial Partnerships

- **Opportunities:** Deep shared life vision, mutual emotional trust, flexible division of labor.
- **Hazards:** Commercial conflicts spilling into domestic life, inability to disengage from work.
- **Management Rule:** Delineate clear functional boundaries (e.g., one manages operations, the other finance).

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Parent-Child Dynamics & The Founder's Imprint

Transmitting Values & Navigating Autonomy

- **The Founder's Imprint:** Personal values, work ethic, and integrity shape corporate culture.
- **Succession Tension:** Children balancing career freedom vs. parental expectation.
- **External Validation:** Successors should work outside the firm first to build credibility and external perspective.

Sibling Rivalry: Predator vs. Parasite Conflict

The Predator Perspective

- Held by non-working family shareholders.
- View active family managers as 'predators' who siphon profits into inflated salaries & perks.

The Parasite Perspective

- Held by active family managers.
- View non-working shareholders as 'parasites' who demand high dividends without contributing labor.

Sibling Rivalry: The Predator vs. Parasite Conflict

- Working in the business (Sector 6 or 7).
- Feels they take all the operational risk and generate all the profit.
- **Perception:** Viewed by siblings as power-hungry or hoarding wealth.



- Holds equity but does not work in the firm (Sector 4).
- Demands high dividends, instant gratification, and equal say.
- **Perception:** Viewed by managers as lazy and entitled.

Global Touchpoint: The Ambani family (Reliance Industries, Asia) – a textbook example of high-stakes sibling rivalry requiring intense governance to resolve.

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Governance Tools: Retreats, Councils & Constitutions

Family Retreats

- Off-site gatherings.
- Lansky's 5 rules: clear purpose, realistic goals, structured agenda, inclusive voice, consensus focus.

Family Councils

- Representative body.
- Formulates family policies & manages emotional dynamics before impacting board.

Family Constitution

- Formal written creed.
- Defines employment entry rules, compensation, and dispute resolution.

6 Core Components of a Family Constitution

Key Elements of the Family Creed

1. **Core Family Values:** Work ethic, integrity, behavioral expectations.
2. **Decision-Making Protocols:** Voting rights, board appointments, approval thresholds.
3. **Family Benefits:** Employment entry requirements, market compensation, dividend policy.
4. **Next-Gen Onboarding:** Required qualifications & external work experience.
5. **Dispute Resolution:** Formal mediation procedures for deadlocks.
6. **Philanthropic Goals:** Guidelines for family charitable initiatives.

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Succession Mechanics & Equity Allocation

Senior Generation Actions

- • Open communication on retirement.
- • Proactive written plan.
- • Objective accountability.
- • Clear retirement exit strategy.

Junior Generation Actions

- Express career aspirations clearly.
- Develop personal action plan.
- Build technical & financial skills.
- Demonstrate leadership.

BOTSWANA CASE ILLUSTRATION

Global Class Example: Botswana Enterprises

Choppies Enterprises & Regional Retail

- **Choppies (Waygard / Ottapathu Family):** Transitioned from a single store in Lobatse to a multi-national retail giant across Southern Africa.
- **Sefalana Group & Local Agribusinesses:** Demonstrates the evolution from founder-led supply networks to professionally governed public firms.
- **Key Lesson:** Transitioning from local owner-managed ventures to regional corporate governance while navigating family shareholding.

AFRICA CASE ILLUSTRATION

Global Class Example: Regional Africa

Dangote Group (Nigeria) & Pick n Pay (South Africa)

- **Dangote Group (Aliko Dangote - Nigeria):** Industrial conglomerate integrating next-generation family leadership alongside international C-suite executives.
- **Pick n Pay (Ackerman Family - South Africa):** Successful multi-generational transition balancing family board control with non-family professional CEOs.
- **Key Lesson**: Professionalizing executive management while preserving family strategic vision.

EUROPE CASE ILLUSTRATION

Global Class Example: Europe

BMW, IKEA & Roche Dynasties

- **BMW (Quant Family - Germany):** Family holds 47% voting stake, providing long-term capital stability while non-family board members execute strategy.
- **IKEA (Kamprad Family - Sweden):** Complex foundation-owned family governance structure securing long-term brand identity.
- **Roche (Hoffmann-Oeri Family - Switzerland):** 5th generation cousin consortium stewarding pharmaceutical innovation through formal family voting pools.

ASIA CASE ILLUSTRATION

Global Class Example: Asia

Reliance Industries, Tata & Toyota

- **Reliance Industries (Ambani Family - India):** Multi-billion dollar succession planning dividing business verticals among next-generation heirs to prevent feud.
- **Toyota Motor Corp (Toyoda Family - Japan):** Family retains leadership heritage and brand culture despite owning under 2% direct equity.
- **Key Lesson:** Balancing family legacy with institutional governance in global conglomerates.

AMERICA CASE ILLUSTRATION

Global Class Example: America

Walmart, Ford & Mars Inc.

- **Walmart (Walton Family - USA):** World's largest family enterprise; family owns ~47% equity through Walton Enterprises while operating via professional C-suite.
- **Ford Motor Company (Ford Family - USA):** Special dual-class stock structure preserves 40% voting control for the Ford family across 4 generations.
- **Mars Inc. (Mars Family - USA):** Highly private 3rd/4th generation cousin consortium governed by strict family constitution.

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Textbook Case Applications: Pretoria Dental & Situation 1

Pretoria Dental Laboratory

- **Challenge:** Operational expansion of a technical family enterprise.
- **Lesson:** Transitioning from informal workshop to professionally governed laboratory requiring non-family technical specialists.

Situation 1: Andile & Kwanele

- **Challenge:** Distributing ownership among active & non-active children.
- **Lesson:** Decoupling equity ownership (fairness) from management control (merit).

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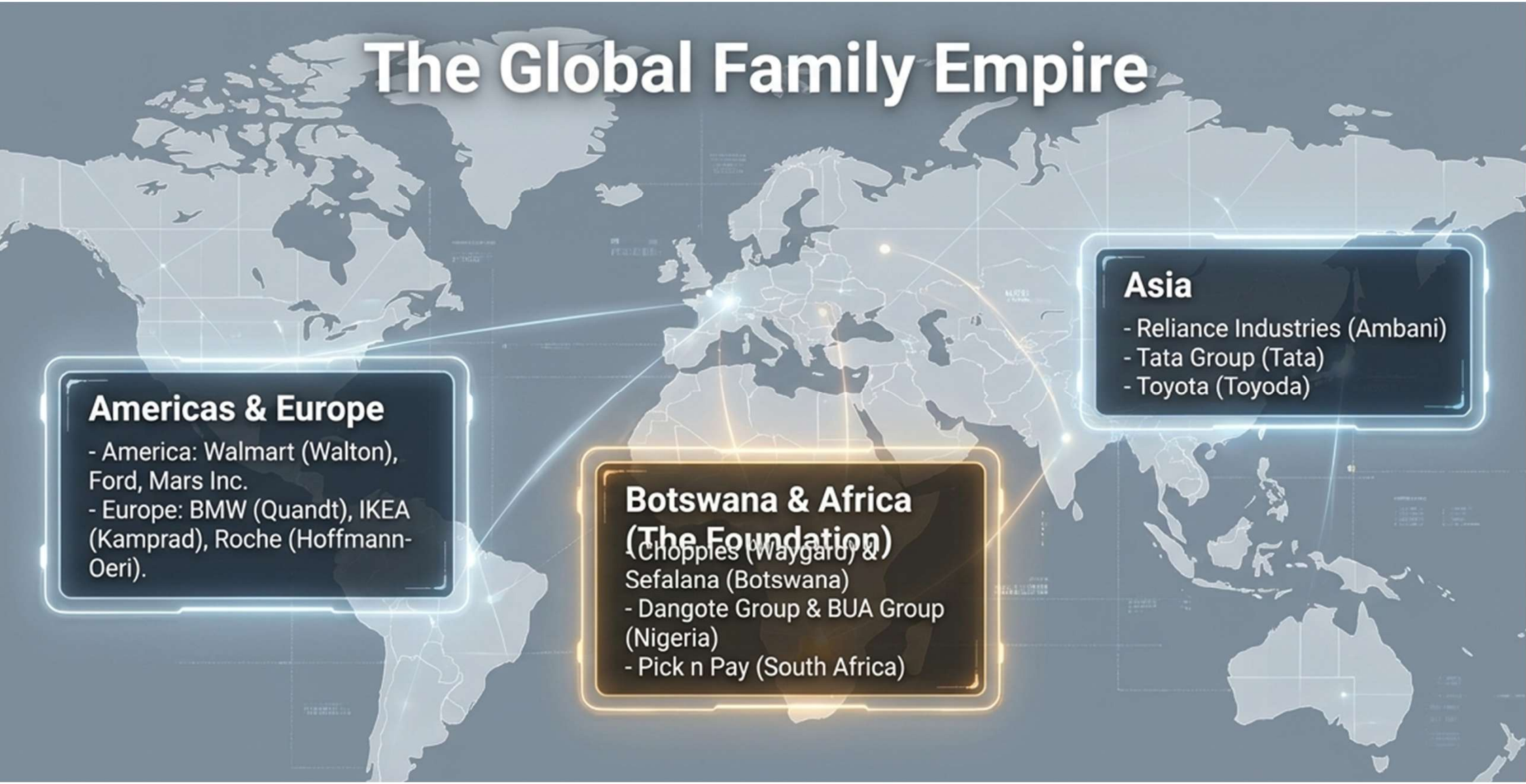
Textbook Case Applications: Situation 2 & Iaccarino

Situation 2: Aletia & Ockie

- **Challenge:** Retiring founders whose children pursue external careers.
- **Lesson:** Appointing non-family General Managers or selling firm when succession is absent.

Iaccarino & Son Case

- **Challenge:** Founder emotional attachment during economic recession.
- **Lesson:** Overcoming founder bottleneck & making early operational cuts in crisis.


The Global Family Empire
Americas & Europe
- America: Walmart (Walton), Ford, Mars Inc.
- Europe: BMW (Quandt), IKEA (Kamprad), Roche (Hoffmann-Oeri).
Botswana & Africa (The Foundation)
- Choppies (Waygard) & Sefalana (Botswana)
- Dangote Group & BUA Group (Nigeria)
- Pick n Pay (South Africa)
Asia
- Reliance Industries (Ambani)
- Tata Group (Tata)
- Toyota (Toyoda)

Summary & Discussion Questions

Class Discussion Prompts

1. **Dual-System Balance:** How can African family businesses preserve Socio-Emotional Wealth (**SEW)** without sacrificing commercial efficiency?
2. **Governance:** Should Botswana family enterprises adopt formal Family Constitutions before entering the Sibling Partnership stage?
3. **Equity vs. Control:** Is dividing business equity equally among active and non-active children fair or dangerous for company survival?
4. **Global Lessons:** What can local SADC family firms learn from corporate governance models used by Walmart, BMW, and Choppies?